

JANUARY 2026

IBM Risk & Opportunity Assessment Report (ROAR)

Encova Insurance



ANGLEPOINT

MEET THE TEAM



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AGENDA

01 ENGAGEMENT OVERVIEW

02 EXECUTIVE SUMMARY

03 RECOMMENDATIONS

04 QUESTIONS & ANSWERS

05 NEXT STEPS

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01

ENGAGEMENT OVERVIEW

Engagement Objectives



ENGAGEMENT OBJECTIVES:	
●	The Anglepoint team will work with Encova to develop a project plan and schedule to address Encova’s IBM CVA goals and objectives in scope of this SOW
●	Establish an Effective Entitlement Position (EEP)
●	Establish an Effective License Position (ELP)
●	Identify risk and opportunities found and optimize the license position
●	Perform quarterly ILMT health checks and tool recommendations

Engagement Scope

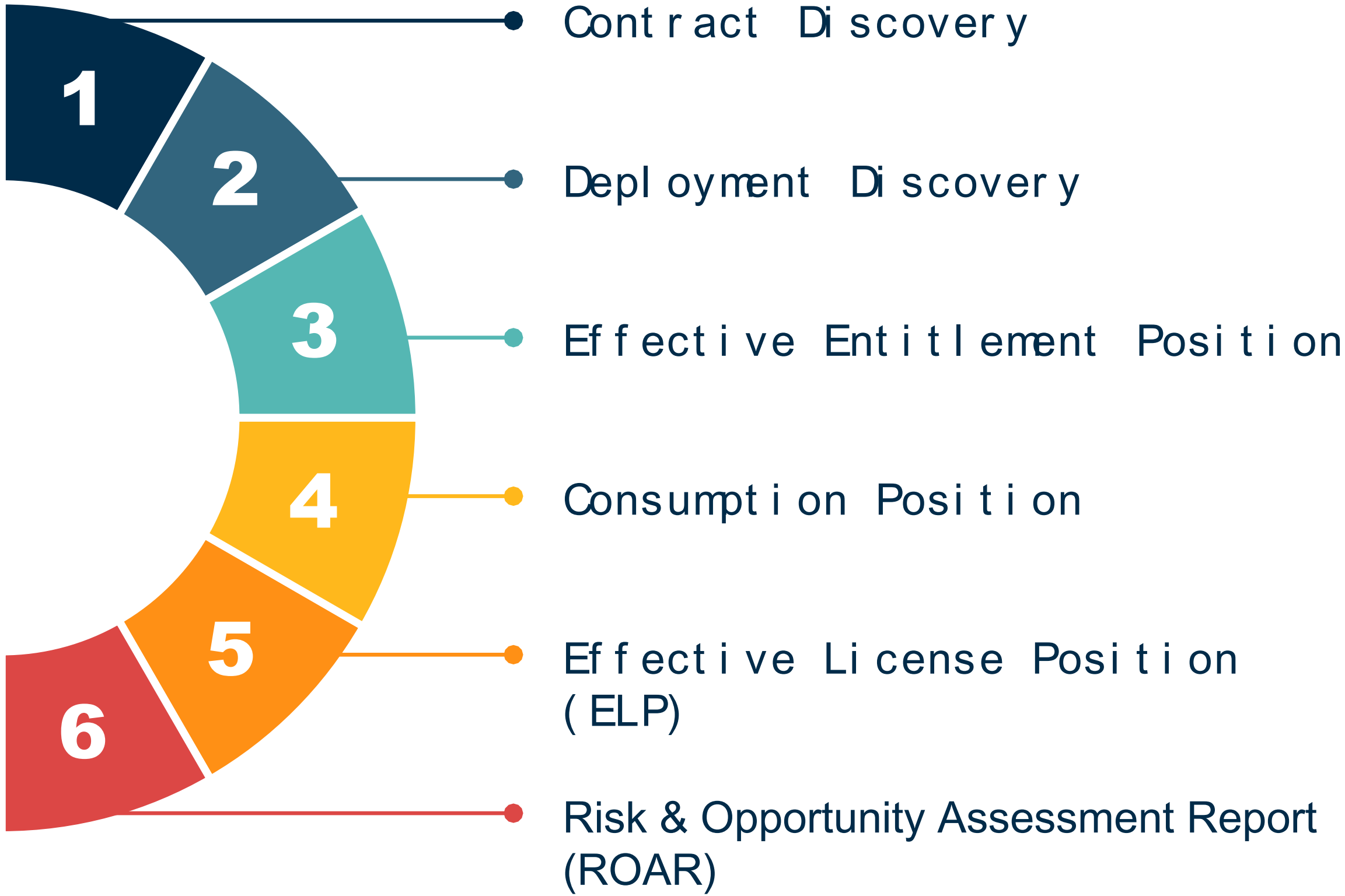


SCOPE:

- 9 distributed IBM products
- 262 servers and 50 containers running IBM software
- 1 ILMT instance

Process Overview

PROCESSES:



STEPS:

●	Gather and review all contract documents necessary to establish complete and accurate license entitlement and usage rights
●	All in-scope software deployments are discovered and mapped to device/users
●	Product-level entitlement quantities are established using contract documentation
●	Product-level consumption quantities are established based on discovery data
●	The entitlement position is compared against the consumption position, validated, presented and finalized
●	High-level findings from the ELP are presented in the ROAR, including quantified cost savings and avoidance recommendations

02

EXECUTIVE SUMMARY

IBM Managed Service Snapshot

TOOLING UPDATE

44

IBM Devices in ILMT

v9. 2. 40

ILMT Version

OS Breakdown

100

10

1

13

31

Windows

Linux

COMPLIANCE SUMMARY

25%

75%

Fully Utilized

Under Utilized

Not Utilized

Over Utilized

Identified Risk and Accomplished Cost Avoidance

Identified Risk	Accomplished Cost Avoidance	Remaining Risk
\$221.6K	\$221.6K	\$0

Cost Savings

Identified Cost Optimization	Accomplished Cost Optimization	Potential Cost Savings
\$507K	\$282K	\$225K

QUARTER IN REVIEW

In Flight Activities / Next Steps

Quarterly Service Review – 1/26/26

Bi-weekly ILMT classifications

ILMT Upgrade

Key Issues Raised

None

Recent Accomplishments

Q4 2025 Basel line CVA ELP Submission – 12/29/25

Q4 2025 EEP Deliverable – 11/3/25

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Identified Risk & Cost Avoidance

Anglepoint identified a total risk of **\$222K** and a cost avoidance of **\$222K** in the baseline analysis.

The Accomplished cost avoidance is also **\$222K** over same period

IDENTIFIED RISK:

\$222K

IDENTIFIED AVOIDANCE:

\$222K

REMAINING RISK:

\$0K



IDENTIFIED RISK & COST AVOIDANCE:

PRODUCTS	IDENTIFIED RISK ¹	COST AVOIDANCE ¹		REMAINING RISK ¹
		IDENTIFIED	ACCOMPLISHED	

CURRENT YEAR DETAILS 2025

●	IBM Websphere Application Server Network Deployment	\$222K	\$222K	\$222K	\$0K
		\$222K	\$222K	\$222K	\$0K

Notes:
¹Using IBM List Pricing

Executive Summary

Total optimization:
Anglepoint identified potential cost avoidance and savings totaling **\$507K over a 1-year period.**

\$507K

DEFINITION

S:

- **Identified Risk:** Quantified financial exposure to Encova due to non-compliance with software licensing or contractual terms. Calculated based on available data, this risk underscores the urgency for corrective action.
- **Identified Cost Avoidance:** Potential unbudgeted costs to Encova that can be prevented through proactive compliance and financial controls. These savings may not appear in financial statements but are measurable in avoided liabilities.
- **Accomplished Cost Avoidance:** The quantified result of actions taken to prevent unbudgeted costs, ensuring compliance and financial control. While not directly reflected in financial statements, these actions reduce or remove future financial exposure.
- **Identified Cost Optimization:** Opportunities to reduce software, hardware, or cloud expenses through license optimization, contract negotiations, or strategic adjustments.
- **Accomplished Cost Optimization:** Verified cost reductions achieved through software, hardware, or cloud optimization. These optimizations may involve renegotiations, contract adjustments, or technology shifts.
- **Realized Cost Savings:** Direct financial savings reflected in budgets or financial statements due to negotiated reductions or decreased expenses.

Identified Cost Optimization

Anglepoint identified cost optimization totaling **\$507K** over a 1-year period.

IDENTIFIED COST OPTIMIZATION:

\$507K

ACCOMPLISHED COST OPTIMIZATION:

\$282K



PRODUCTS	DATE ACCOMPLISHED/ TARGET DATE ²	COST SAVINGS ¹
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IDENTIFIED COST OPTIMIZATION:

●	IBM DataCap (Cloud Pak for Business Automation)	2025-12-17	\$282K
●	4 Products with Potential S&S Reduction	2026-01-31	\$225K
			\$507K

ACCOMPLISHED COST OPTIMIZATION:

●	IBM DataCap (Cloud Pak for Business Automation)	2025-12-17	\$282K
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Notes:

¹ Based on IBM List Price for DataCap & achieved by excluding non-Rulerunner servers;
Based on Encova discounted pricing for 4 products with potential S&S reduction

² As of 12/17/25 baseline ELP

Executive Summary

IDENTIFIED RISK:

\$222K

IDENTIFIED COST AVOIDANCE:

\$222K

ACCOMPLISHED COST AVOIDANCE:

\$222K

REMAINING RISK:

\$0K

ACCOMPLISHED COST OPTIMIZATION:

\$282K

IDENTIFIED RISK & COST AVOIDANCE:

PRODUCTS		IDENTIFIED RISK	COST AVOIDANCE		REMAINING RISK
			IDENTIFIED	ACCOMPLISHED	
●	IBM Websphere Application Server Network Deployment	\$222K	\$222K	\$222K	\$0K
		\$222K	\$222K	\$222K	\$0K

ACCOMPLISHED COST OPTIMIZATION:

PRODUCTS		DISCOUNT %	DATE ACCOMPLISHED/ TARGET DATE	ACCOMPLISHED COST OPTIMIZATION
●	IBM DataCap (Cloud Pak for Business Automation)	0%	2025-12-17	\$282K
				\$282K

03

RECOMMENDATIONS

Actionable Cost Savings Recommendations

Product-specific tactical actions to achieve strategic program outcomes

OBSERVATIONS & RECOMMENDATIONS:

OBSERVATION	RECOMMENDATION	IDENTIFIED COST SAVINGS	OWNER	PRIORITY	DATE ACCOMPLISHED/ TARGET DATE
Potential S&S reduction opportunities	Evaluate current and future state needs to determine reduction quantities	\$225K	Ajay Kumar / Steve Weiland	Medium	January 31, 2026 (Renewal Date)

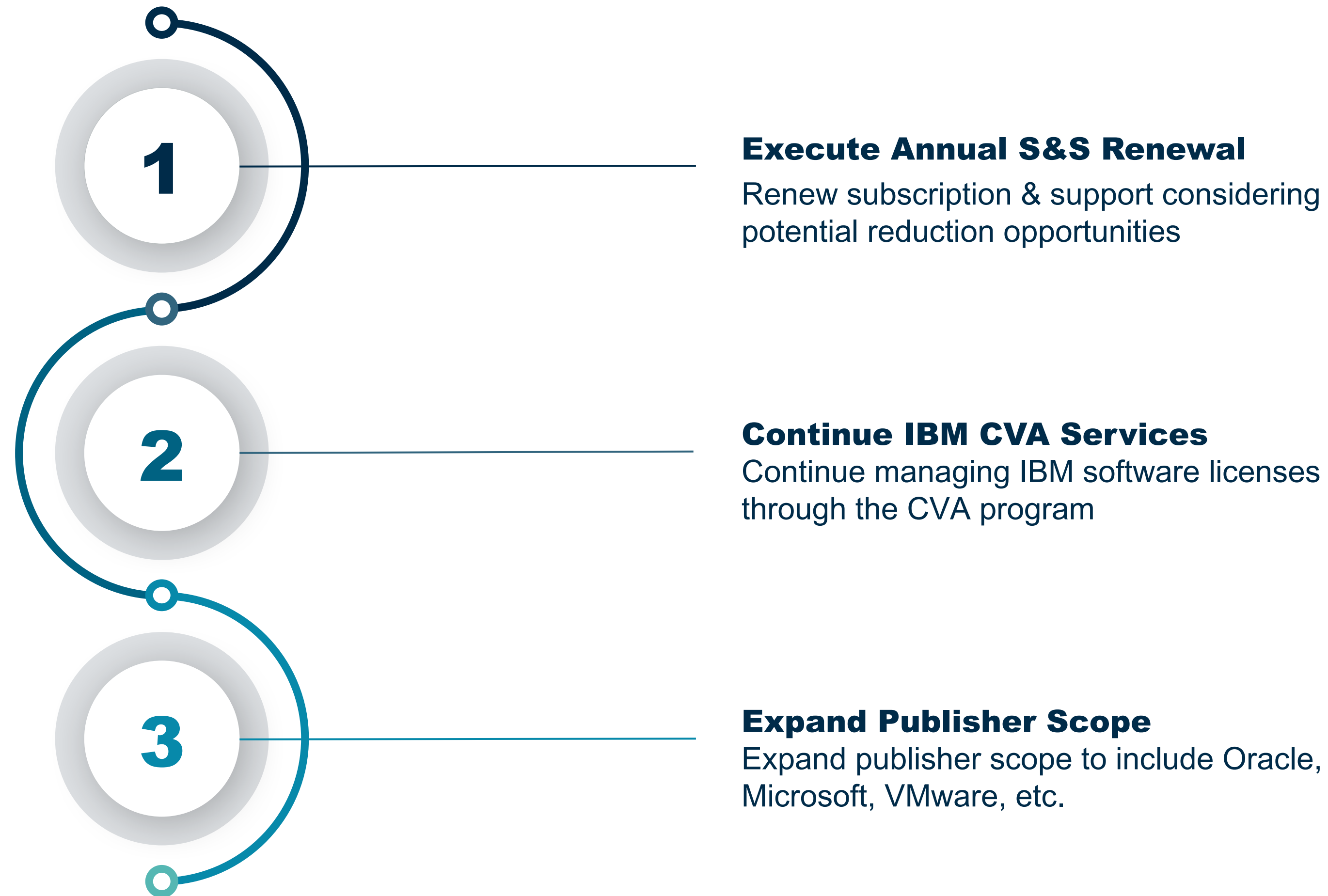
04

QUESTIONS & ANSWERS

05

NEXT STEPS

Recap of High-Level Next Steps



SUCCESS FACTOR:

Overall key success factor or reminder goes here. Overall key success factor or reminder goes here.

Recommended Next Steps

Annual S&S Renewal

JANUARY
31

NEXT STEPS:

1. Execute annual S&S renewal with focus on potential reduction quantities

Quarterly CVA Submission

MARCH
31

NEXT STEPS:

1. Deliver quarterly sub-capacity product CVA report

SOW Renewal

AUGUST
31

NEXT STEPS:

1. Renew IBM CVA managed services



How are we doing?

Scan the QR code or click the link below to take a 3-minute survey to share feedback on your experience.

Start Survey



06

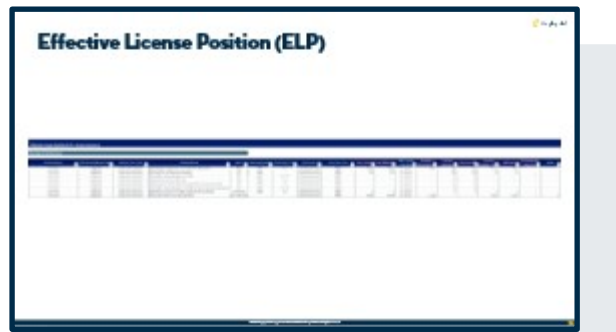
APPENDIX

Definitions: EEP, ELP and ROAR



Effective Entitlement Position:

An accurate and up-to-date understanding of an organization's software license entitlements and their corresponding usage rights. A comprehensive record of the licenses owned, the terms and conditions associated with each license, and the rights granted to the organization for deploying and using the software.



Effective License Position:

A review and comparison of an organization's software entitlements against the corresponding consumption, taking into account an organization's software contracts and associated documentation. The ELP indicates a current compliance position at a particular point in time.



Risk & Opportunity Assessment Report:

Gleans findings from the ELP to outline license compliance risks & areas of opportunities for optimization to reduce license consumption and gain better value from software contracts through improved license deployment and allocation.

Definitions: Risk, Cost Avoidance, & Cost Savings



Risk:

Identified financial impact to Encova as a result of under or incorrectly licensed IBM software, based on the data shared with Anglepoint by Encova to date.

Highlights necessity of immediate actions/additional spend liability.

Remaining risk refers to all cost(s) that cannot be avoided.



Cost Avoidance:

Any action that avoids having to incur (non-budgeted) costs in the future.

Cost Avoidance measures are never reflected in the financial statements or next year's budget. They will only be reflected in situations where the proposed action is not implemented, resulting in a cost increase.



Cost Savings:

Any action that results in a tangible financial benefit that lowers current spending, investment or debt levels.

Cost savings measures are reflected in the financial statements and next year's budget.

Notable Contract Events



Notable Contract Events

Contract Name	Event Date	Category	Event	Importance	Products Impacted	Required Actions
Agreement number	31-Jan-26	Maintenance	Maintenance Renewal	Medium	All products under sites 7093134	Determine if and how many licenses are to be renewed.
Client Value Acceleration Program (CVA)	31-Dec-25	CVA	ELP Delivery to IBM CVA Portal	High	All products covered under IASP	Upload the CVA ELP to IBM CVA platform. Please confirm to the Anglepoint team once this is completed.

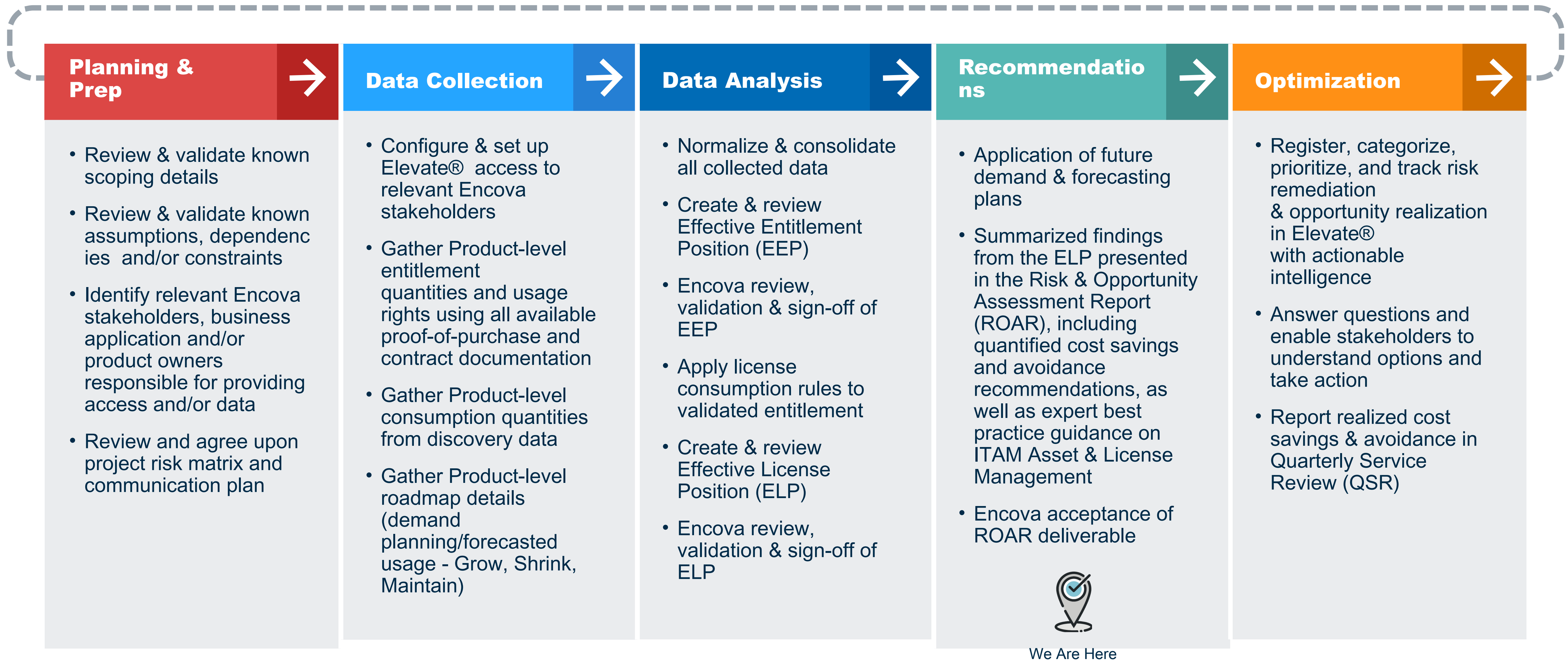
Notable Contract Terms



Notable Contract Terms
IBM ELP

Term	Definition	Entitlement Artifact	Section
Authorized User	An Authorized User is a unique person who is given access to the Program.	International Program License Agreement	IBM Website
Concurrent User	A Concurrent User is a person who is accessing the Program at any particular point in time. The Program may be installed on any number of computers or servers, but Licensee must obtain entitlements (Proof of Entitlement(PoE)) for the maximum number of Concurrent Users simultaneously accessing the Program. Source: IBM SLA	International Program License Agreement	IBM Website
Floating User	A Floating User is a person who is accessing the Program at any particular point in time. An Install is an installed copy of the Program on a physical or virtual disk made available to be executed on a computer. The Program may be installed on any number of computers or servers, but if the Floating User simultaneously accesses more than one Install of the Program, the Floating User requires a separate entitlement for each such Install. Source: IBM SLA	International Program License Agreement	IBM Website
Resource Value Unit (RVU MAPC)	Resource Value Unit (RVU) is a unit of measure by which the Program can be licensed. RVU Proofs of Entitlement are based on the number of units of a specific resource used or managed by the Program. Licensee must obtain sufficient entitlements for the number of RVUs required for Licensee's environment as defined by the specific software terms. RVU entitlements are specific to the Program and the type of resource and may not be exchanged, interchanged, or aggregated with RVU entitlements of another program or resource.	International Program License Agreement	IBM Website
Install	Install is a unit of measure by which the Program can be licensed. An Install is an installed copy of the Program on a physical or virtual disk made available to be executed on a computer. Licensee must obtain an entitlement for each Install of the Program.	International Program License Agreement	IBM Website
User Value Unit	User Value Unit (UVU) is a unit of measure by which the Program can be licensed. UVU Proof of Entitlement (PoE) are based on the number and type of Users for the given Program. Licensee must obtain sufficient entitlements for the number of UVUs required for Licensee's environment as defined by the specific software terms. The UVU entitlements are specific to the Program and type of user and may not be exchanged, interchanged, or aggregated with UVU entitlements of another program or type of user.	International Program License Agreement	IBM Website
FlexPoint	FlexPoint is a license metric unit that can be used to determine the cost of IBM products that are purchased as part of FlexPoint bundles. Each product from a bundle is licensed based on a different license metric but all metrics are converted into FlexPoints. The conversion is based on the specific calculations. PVU and RVU software that is assigned to a FlexPoint bundle, must be licensed based on sub-capacity rules. Products that are currently available as part of FlexPoint bundles are products from the IBM Cloud and IBM Analytics brands.	International Program License Agreement	IBM Website
Cloud Paks	Cloud Paks deliver IBM enterprise software and open source components in open and secure solutions that are easily consumable and can run anywhere. License Metric Tool collects information about the utilization of license metrics by non-containerized products that are installed as part of Cloud Paks. IBM Cloud Paks can consist of containerized and non-containerized products. License Metric Tool calculates utilization of license metrics by non-containerized products only. For each product that is a part of a Cloud Pak, a separate conversion option is specified in the License Information document.	International Program License Agreement	IBM Website
Virtual Processor Core	Virtual Processor Core is a unit of measure by which the Program can be licensed. A Physical Server is a physical computer that is comprised of processing units, memory, and input/output capabilities and that executes requested procedures, commands, or applications for one or more users or client devices. Where racks, blade enclosures, or other similar equipment is being employed, each separable physical device (for example, a blade or a rack-mounted device) that has the required components is considered itself a separate Physical Server. A Virtual Server is either a virtual computer created by partitioning the resources available to a Physical Server or an unpartitioned Physical Server. A Processor Core is a functional unit within a computing device that interprets and executes instructions. A Processor Core consists of at least one instruction control unit and one or more arithmetic or logic units. A Virtual Processor Core is a Processor Core in an unpartitioned Physical Server, or a virtual core assigned to a Virtual Server. Licensee must obtain entitlements for each Virtual Processor Core made available to the Program.	International Program License Agreement	IBM Website
Processor Value Unit (PVU)	Processor Value Unit (PVU) is a unit of measure by which the Program can be licensed. The number of PVU entitlements required is based on the processor technology (defined within the PVU Table by Processor Vendor, Brand, Type and Model Number) and the number of processors made available to the Program. IBM continues to define a processor, for the purpose of PVU-based licensing, to be each processor core on a chip. A dual-core processor chip, for example, has two processor cores. Source: IBM SLA	International Program License Agreement	IBM Website
Non-PVU Products	Products with a metric other than PVU.	Maintenance Agreement	-
Non-ILMT Products	Products that are not managed by the IBM SAM tool, such as "IBM License Metric Tool" (ILMT) or "BigFix Inventory"	Maintenance Agreement	-

IBM Managed Service Process Overview





Anglepoint is the leading provider of ITAM & cloud managed services to the Forbes Global 2000.

Our Services eliminate cloud, software, & IT waste with actionable insights that drive agile forecasting within the world's largest & most complex hybrid IT environments.

We Deliver comprehensive managed services to assess, design, transform, & operate world-class programs that follow the industry standard, ISO 19770-1.



Recognized Global Leader in SAM Managed Services

For 6 years, Gartner® has named Anglepoint a Leader in SAM Managed Services, reflecting our clients' success and trust.

Gartner

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Recognized for Consistent Leadership

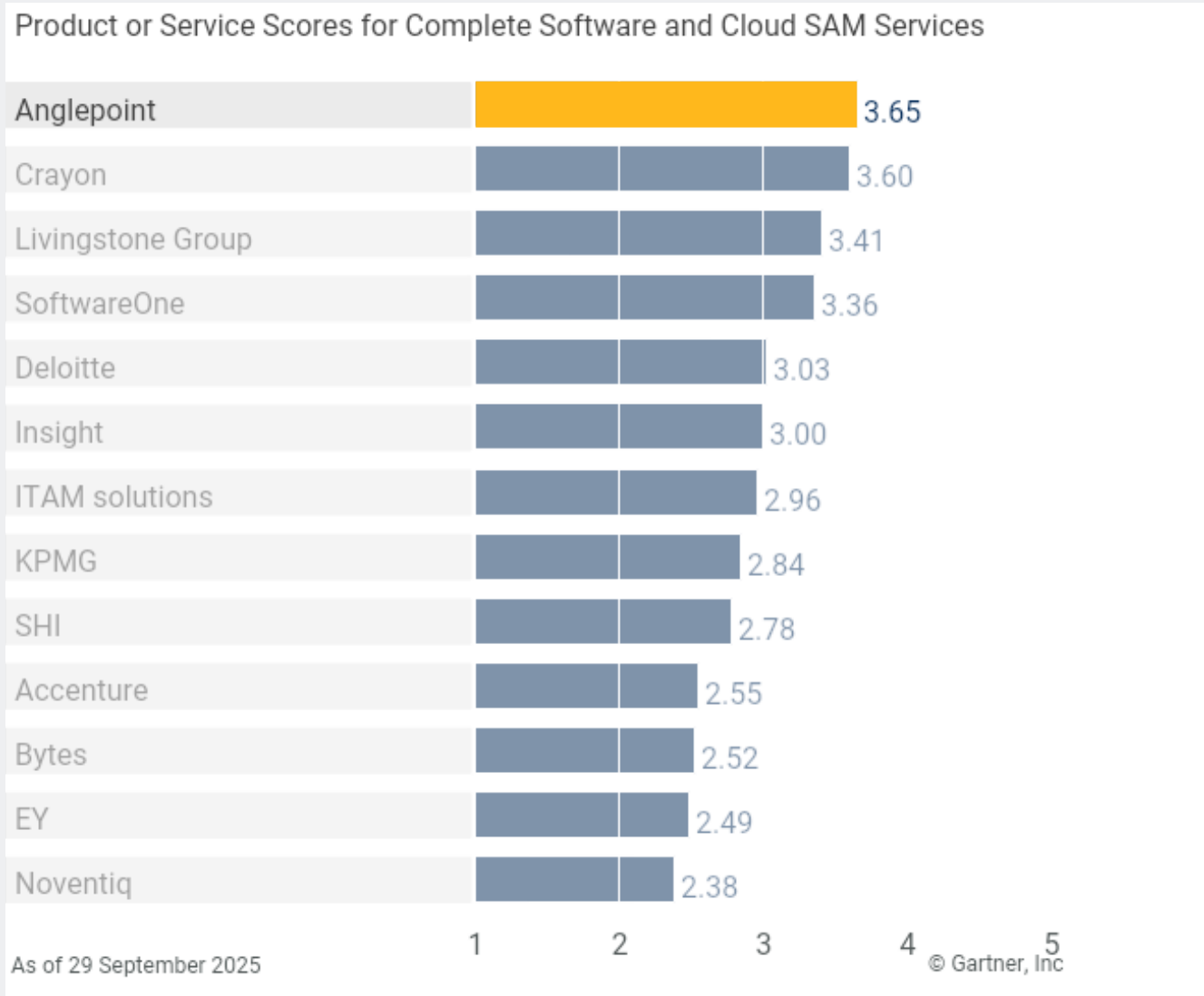
For six consecutive years, Anglepoint has ranked first in all three use cases among 13 profiled providers in Gartner’s Critical Capabilities for SAM Managed Services report.

RANKED

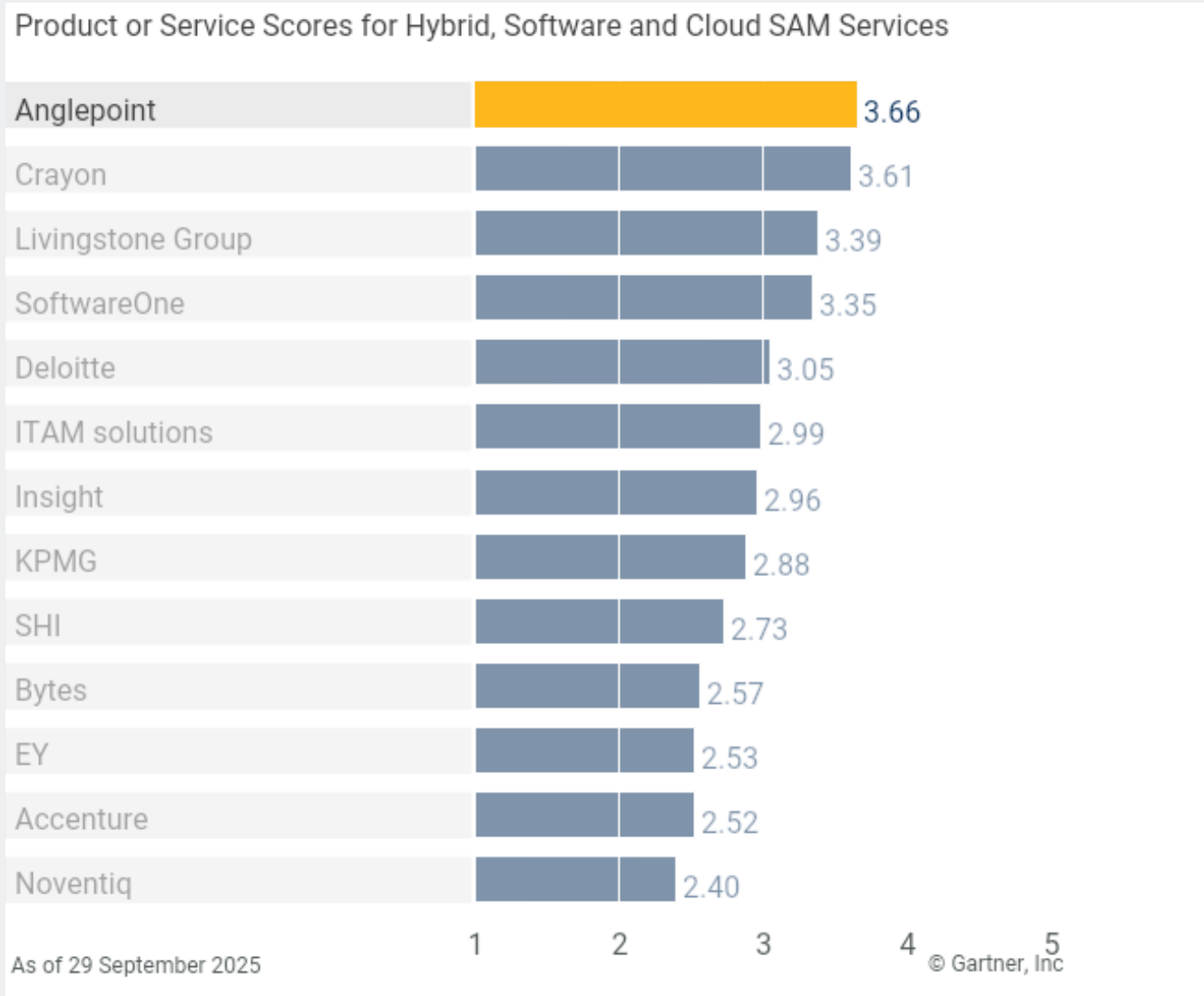
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IN EVERY USE CASE

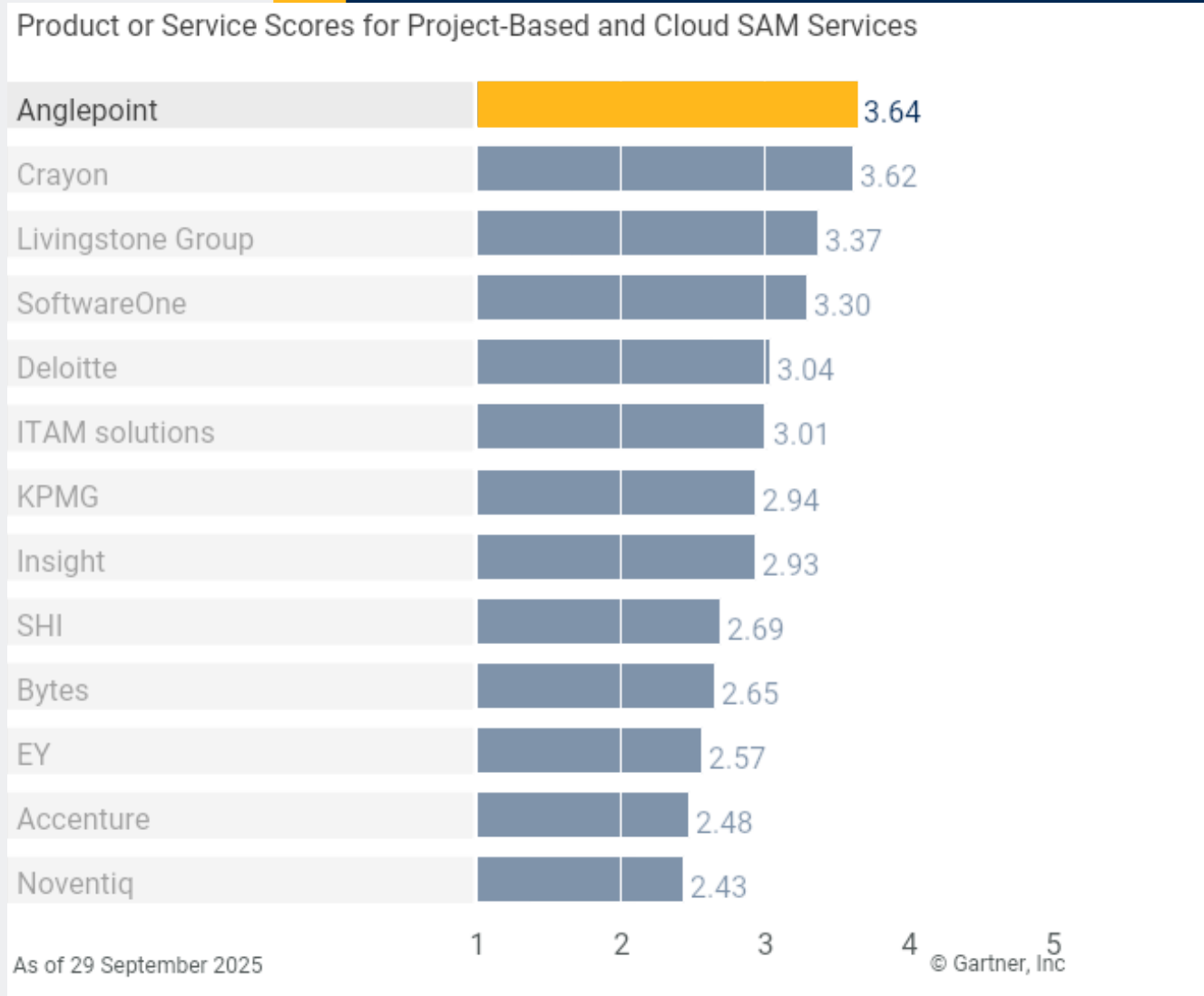
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2



3



Gartner, Critical Capabilities for Software Asset Management Managed Services, Rob Schafer, Yolanda Harris, Jaswant Kalay, Charity Hooper, 6 October 2025, G00824336. This graphic was published by Gartner, Inc. as part of a larger research document and should be evaluated in the context of the entire document. The Gartner document is available upon request from Anglepoint at www.anglepoint.com/cc. Gartner does not endorse any vendor, product or service depicted in its research publications and does not advise technology users to select only those vendors with the highest ratings or other designation. Gartner research publications consist of the opinions of Gartner’s research organization and should not be construed as statements of fact. Gartner disclaims all warranties, expressed or implied, with respect to this research, including any warranties of merchantability or fitness for a particular purpose. GARTNER and Critical Capabilities are registered trademark and service mark of Gartner, Inc. and/or its affiliates in the U.S. and internationally and is used herein with permission. All rights reserved.

Product/Service Rating on Critical Capabilities



X

Highest Ratings

▼ CAPABILITIES	Accenture	Anglepoint	Bytes	Crayon	Deloitte	EY	Insight	ITAM Solutions	KPMG	Livingstone Group	Noventiq	SHI	SoftwareOne
1 Process and Transformation	3.0	4.0	2.7	3.5	3.2	2.6	2.8	3.3	2.9	3.2	2.4	2.5	3.7
2 Trustworthy Data	2.4	3.7	2.9	3.6	3.0	2.6	2.7	3.0	3.2	3.4	2.5	2.6	3.3
3 Entitlement and Use Rights	1.9	3.6	2.8	3.8	3.0	2.7	2.8	3.0	3.2	3.4	2.5	2.7	3.3
4 FinOps	3.2	3.9	2.4	3.8	2.9	2.6	3.0	2.3	2.8	3.5	2.3	2.6	3.2
5 SaaS and Cloud License Management	2.2	3.6	2.0	3.2	2.9	2.4	3.1	3.0	3.0	3.1	2.7	3.0	3.4
6 Governance and Optimization	2.4	3.6	2.5	3.5	3.3	2.5	3.2	2.9	2.8	3.8	2.2	2.6	3.4
7 Life Cycle Management	2.5	3.7	2.4	3.6	3.0	2.7	3.1	2.6	3.0	3.7	2.4	2.7	3.6
8 Continuous Delivery Platform	2.1	3.7	2.3	3.7	2.7	1.9	2.5	2.7	3.0	3.4	2.3	3.4	3.5
9 Value Realization	2.8	3.6	2.6	3.6	3.1	2.5	3.5	3.4	2.4	3.2	2.4	2.9	3.3
10 Environmental Sustainability	3.0	2.7	2.1	3.6	3.1	2.2	2.6	2.7	2.3	3.6	2.0	2.7	2.5

Service Practice Areas

Intentionally organized for wholistic, modular managed services

Program Transformation

- strategy development workshop (charter, RACI, prioritization, data quality, POAP)
- process design & implementation
- workflow automation
- policy, control, & KPI development
- maturity assessment & 19770-1 certification readiness

ITAM Tooling

- requirements assessment
- technical capabilities verification
- selection & RFP support
- implementation & integration
- configuration & publisher onboarding
- health check & remediation
- run & maintain

License Management

- Effective License Position (ELP)
- Risk & Opportunity Assessment Report (ROAR)
- audit support
- cracked key analysis
- negotiation support
- renewals management
- agreement consolidation & terms development
- post-merger contract novation

Managed Services

- modular services components from all other practice areas
- governance administration
- remediation management
- license management
- license service desk
- cracked key management
- program transformation
- tooling run & maintain
- cloud consumption metering

Cloud FinOps

- multi-platform assessment (Azure, AWS, GCP)
- cloud rightsizing
- pricing optimization
- resource consumption monitoring & reporting
- cloud resource tagging audit
- FinOps governance workshop

IT Security

- ISO 27001 certification readiness
- cybersecurity assessment & remediation
- multi-cloud security assessment & remediation
- privacy & security compliance assessment (SOX, PCI, FISMA, HIPPA, FFIEC)

Anglepoint Academy

- authorized training for IAITAM certifications
- SAM 101 & 102
- publisher-specific licensing training
- Anglepoint audit response framework
- understanding licensing terms
- tool admin training

Are you Renewal Ready?

We can help you to prepare for your next renewal. Anglepoint covers 500+ software publishers & have what we consider industry-leading expertise in 100+.

JAN	FEB	MAR	APR
    	 Red Hat	 Symantec  bmc  ptc  ca	
MAY	JUN	JUL	AUG
 ORACLE	 Microsoft  opentext™	 CISCO™	
SEP	OCT	NOV	DEC
	 MICRO FOCUS  BROADCOM™	 Adobe	 IBM®  DASSAULT SYSTEMES  VERITAS®  PEGA  APPTIO  servicenow  SAP®  citrix

Original at a Glance Original



Extensive pool of Global Independent Experts (GIEs)

Recommended TPSS provider



IBM + HCL + VMware

Products supported



Gartner

Recommended TPSS provider



\$1bn+

Savings, risk & cost avoidance



Fortune 500/Global 1000

Customers



Ireland INC US 250

Investing in our US footprint



GARTNER'S TOP RECOMMENDATION

for Independent "third-party" support for 5 years

2019, 2020, 2021, 2022 & 2023